

💰 **BONUS 5 OF 5 · PRICING**

Pricing *That* *Profits*

The four-layer pricing formula that separates the baker who thinks she's profitable from the one who actually is. With a printable worksheet, worked examples in USD and the seven pricing errors that quietly give away your profit.

- The four-layer pricing formula in one page
- Printable worksheet you fill out for every recipe
- Worked examples: 24 simple · 24 premium · 48 personalised · 100-unit dessert table
- Seven common pricing errors and how to fix each one

Fifth bonus of the five

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This is the shortest chapter in the pack and the one with the biggest impact on your annual revenue. Read it twice, fill out the worksheet, and calibrate your next quote. Everything else in the Cookie Cash Blueprint is amplified by the numbers you generate here.

CHAPTER 1

Why pricing is the highest-leverage decision you make

Same cookies. Same production. Different pricing. Different business.

A home baker who charges \$5 per decorated cookie and one who charges \$8 per decorated cookie are running two fundamentally different businesses, even if they bake the same product. Not slightly different. Fundamentally.

The 60% differential

Consider two hypothetical bakers producing 100 decorated cookies per week:

	BAKER A (\$5/COOKIE)	BAKER B (\$8/COOKIE)
Weekly revenue	\$500	\$800
Direct costs (30% of revenue)	\$150	\$240
Contribution margin	\$350	\$560
Hours worked (same)	20	20
Effective hourly rate	\$17.50/hr	\$28/hr
Annual contribution (52 weeks)	\$18,200	\$29,120

Same effort. Same cookies. **\$10,920 difference per year**. That's the full amount of a bathroom renovation, a family holiday, or a college semester. It comes from one decision: what number you type into the quote.

THE ONE THING YOU CAN CHANGE TODAY, FOR FREE

Pricing is the single thing you can literally change today, at zero cost, that immediately compounds forever. Every quote from Monday onwards can be at your new number. It doesn't require a course, an ad budget or a new skill. It requires you deciding.

The four-layer pricing formula

The four costs that every cookie has to earn back. Miss one layer and you're subsidising your customer.

Almost every home baker prices at Layer 1 plus a random markup. That's why almost every home baker plateaus at \$17/hour and quits after 18 months. The four-layer method is the difference.

Layer 1 • Direct ingredient cost

The literal flour, butter, sugar, eggs, colour and sprinkles that go into the cookie. Divide the cost of each ingredient bag or jar by the number of cookies it will actually produce. Add them up. Typical range for a mid-complexity 3-inch decorated cookie: **\$0.35-0.70 USD**.

Layer 2 • Indirect costs

Everything you consume that isn't in the cookie itself:

- Gas or electricity for the oven (~\$0.20 per batch of 24)
- Parchment paper (~\$0.02 per cookie)
- Piping bags (~\$0.05 per cookie)
- Cellophane bag + heat seal (~\$0.06)
- Silica gel share (~\$0.03)
- Kraft box share for 12-cookie order (~\$0.10 per cookie)
- Ribbon, label, tissue paper share (~\$0.20 per cookie)

Total Layer 2 for a properly packaged premium cookie: **\$0.50-1.10 USD**.

Layer 3 • Your hourly rate × time per cookie

This is the layer everyone forgets. Your time is a real cost, even if you love baking.

- A simple flooded cookie takes 4-6 minutes of your time (across baking, decorating, packaging)
- A mid-complexity decorated cookie takes 8-15 minutes
- A monogrammed / painted / hand-detailed cookie takes 15-25 minutes

Your beginner hourly rate should not be less than the equivalent of what a skilled barista or entry-level office job pays in your area. Realistic starting ranges:

- **US:** \$18-25/hr
- **UK:** £14-20/hr
- **CA:** C\$20-28/hr
- **AU:** A\$25-35/hr

At \$20/hr and 10 minutes per cookie, Layer 3 adds **\$3.33 per cookie**. This is the number most home bakers omit entirely — and this is exactly why so many stay stuck under \$5/cookie retail.

Layer 4 • Profit margin

On top of Layers 1+2+3 you add a profit margin — this is the money that isn't paying for anything specific, it's the money that makes your business a business. Recommended margins:

- **Standard orders:** 20-30% margin on top of costs 1+2+3
- **Custom/complex orders:** 30-40% margin
- **Event / rush / wedding orders:** 40-50% margin

THE FOUR-LAYER FORMULA IN ONE LINE

$$\text{Retail} = (\text{L1} + \text{L2} + \text{L3}) \times (1 + \text{margin})$$

Simple example — L1=\$0.55, L2=\$0.75, L3=\$3.33, margin=25%. Retail = (\$0.55 + \$0.75 + \$3.33) × 1.25 = \$4.63 × 1.25 = **\$5.79 per cookie**. Round up to \$6.00.

NOTICE WHAT THIS PRODUCES

At \$6.00 retail with 10 minutes per cookie, you're earning \$36/hour of effective time, which after fixed costs settles around \$28-30/hour net. Compare that to the \$17/hour you'd earn at \$5/cookie without accounting for Layer 3 — the difference is real and it's why this formula matters.

CHAPTER 3

The pricing worksheet (printable)

Fill this out once per recipe. Rebuild it once a quarter as your costs change.

Print this page. Fill it in by hand for the first three recipes you sell. Keep them in a folder. Repeat every three months.

Layer 1 • Direct ingredient cost worksheet

INGREDIENT	BAG / JAR COST	COOKIES PER BAG/JAR	COST PER COOKIE
Flour (AP / plain / GF)	_____	_____	_____
Butter (unsalted)	_____	_____	_____
Powdered sugar	_____	_____	_____
Eggs	_____	_____	_____
Meringue powder	_____	_____	_____
Vanilla extract	_____	_____	_____
Gel colours (average share)	_____	_____	_____
Sprinkles (average share)	_____	_____	_____
Layer 1 total per cookie			\$ _____

Layer 2 • Indirect cost worksheet

ITEM	PER-COOKIE SHARE
Gas / electricity for oven	_____
Parchment paper	_____
Piping bags + tips share	_____
Cellophane bag	_____
Heat seal (equipment amortised)	_____
Silica gel share	_____
Kraft box share (÷ cookies in box)	_____

ITEM	PER-COOKIE SHARE
Ribbon share	_____
Label + thank-you card share	_____
Layer 2 total per cookie	\$_____

Layer 3 • Time × rate

COMPONENT	TIME (MIN)
Baking share (batch time ÷ cookies)	_____
Icing prep share	_____
Outline	_____
Flood	_____
Detail work	_____
Packaging + heat seal	_____
Total time per cookie (min)	_____
Your hourly rate	\$_____/hr
Layer 3 total per cookie	\$_____

Layer 4 • Margin + retail price

FINAL MATH

**Subtotal (L1+L2+L3): \$_____ × (1 + margin
_____%) = \$_____ retail**

Round up to nearest half-dollar or full dollar. That's your published price for this cookie style.

CHAPTER 4

Four worked examples end-to-end

Four real orders priced from start to finish. Copy the process, not the numbers — your costs will differ by country and supplier.

Example 1 • 24 simple flooded birthday cookies

L1 • Ingredients per cookie	\$0.42
L2 • Indirect (including packaging in 24-count box)	\$0.55
L3 • 6 min at \$20/hr	\$2.00
Subtotal (L1+L2+L3)	\$2.97
Layer 4 • Margin (25%)	\$0.74
Retail per cookie	\$3.71 → round to \$4.00
Order total (24 units)	\$96

Example 2 • 24 premium wedding-shower monogrammed cookies

L1 • Ingredients per cookie	\$0.55
L2 • Indirect (premium kraft box, ribbon, custom labels)	\$1.20
L3 • 14 min at \$22/hr	\$5.13
Subtotal	\$6.88
Layer 4 • Margin (30%)	\$2.06
Retail per cookie	\$8.94 → round to \$9.00
Order total (24 units)	\$216

Example 3 • 48 personalised corporate favours

L1 • Ingredients per cookie	\$0.48
L2 • Indirect (48-count larger box + branded labels)	\$0.95
L3 • 12 min at \$22/hr (some personalisation)	\$4.40
Subtotal	\$5.83

Layer 4 · Margin (30%)	\$1.75
Retail per cookie	\$7.58 → round to \$7.75
Order total (48 units)	\$372

Example 4 · 100-unit dessert table for a wedding

L1 · Ingredients per cookie	\$0.52
L2 · Indirect (mixed presentation on trays, not boxed)	\$0.80
L3 · 11 min at \$25/hr (event pricing)	\$4.58
Subtotal	\$5.90
Layer 4 · Margin (40% for event work)	\$2.36
Retail per cookie	\$8.26 → round to \$8.50
Cookies total (100 × \$8.50)	\$850
Setup fee (delivery + styling + tear-down)	\$120
Order total	\$970

NOTICE THE PATTERN

The retail price per cookie increases from \$4 to \$9 across the four examples not because ingredients cost more, but because Layers 3 and 4 grow. Time and margin grow with complexity and event risk. This is exactly how a professional prices — never a flat "per cookie" rate that ignores what the order actually demands.

CHAPTER 5

Payment methods and their hidden fees

The transaction fee is the invisible layer that quietly shrinks your Layer 4 margin.

Here's the honest math on each.

METHOD	TYPICAL FEE	SPEED	NOTES
Cash	0%	Instant	Best margin. Practical only for local pickup or in-person delivery.
Venmo (US)	0% personal / 1.9% + \$0.10 business	Instant	Use "Personal" only if the amount is under a few hundred; otherwise switch to Business.
Zelle (US)	0%	Instant	Bank-to-bank. Perfect for larger US orders.
PayPal (Friends & Family)	0%	Instant	Not for commercial use — technically violates PayPal terms. Risk suspension.
PayPal (Goods & Services)	2.99% + \$0.49 US / 2.9% UK/CA/AU	1-3 days	Buyer protection included. Add to price.
Stripe	2.9% + \$0.30 US / 1.5% + 20p UK / 2.9% CA/AU	2-7 days first, then 2 days	Professional invoicing + buyer trust.
Bank transfer (ACH / BACS / EFT / OSKO)	0-1%	1-3 days	Best for corporate customers.
Credit card via Square	2.6% + \$0.10 US / similar UK/CA/AU	1-2 days	Good for in-person events / dessert-table setup.

At a 3% average fee on a \$100 order you lose \$3. That's often larger than your Layer 4 margin allowance. Either bake the fee into your price (add 3% to your published rate) or state on your quote "add 3% for card payments."

The recommended payment stack

1. **Primary:** Stripe payment link (professional-looking, works everywhere)
2. **Secondary:** Venmo Business (US) / bank transfer (UK/CA/AU) for repeat customers who prefer it
3. **In person only:** Cash
4. **Never:** "I'll pay you next week" verbal agreements. Deposit or no order.

The seven pricing errors

Every one of these is common. Every one of these gives away your profit. Every one of these has a fix.

Error 1 • Not charging for your time (skipping Layer 3)

The classic. "I love baking, I don't need to be paid for it." Your customer is not paying for love — they're paying for a service. If you don't charge for Layer 3, you're subsidising every customer's party with your Saturday. **Fix:** track your minutes on the next 3 orders and multiply by your hourly rate.

Error 2 • The "cost × 3" myth

You'll see this on every craft blog: "just multiply your ingredient cost by 3 to get your retail." This is worthless for decorated cookies because the ingredient cost is a tiny fraction of the total cost. At \$0.50 ingredient cost, x3 gives you \$1.50 retail — you'd lose money on every order. **Fix:** use the four-layer formula.

Error 3 • Free samples

"Would you like me to send you a free cookie so you can taste before ordering?" Never do this. Costs you \$2-3 in materials, an hour of your time, and sets the expectation that your product is worth testing before commitment. Confident bakers don't sample. **Fix:** point them to your Instagram portfolio and reviews.

Error 4 • Bulk discount everyone else takes

"For 100+ cookies I do 15% off." Why? A hundred-unit order doesn't cost you less per cookie — the ingredient cost per unit is basically flat, and the time per cookie is often *higher* (event stress, packaging complexity). **Fix:** volume discounts should be small (5% for 50+ units) and never automatic.

Error 5 • Payment plans with no fee

"I'll pay you \$50 now and the other \$50 after the party." This is a loan you're extending, and 20% of the time you never see the final payment. **Fix:** 50% deposit at booking, 50% at handoff. No exceptions.

Error 6 • Not adjusting prices for materials inflation

Butter, sugar and gel colours have risen 15-40% since 2020. If your prices haven't moved, your margin has collapsed. **Fix:** re-run the worksheet every 6 months and raise prices in \$0.50 increments.

Error 7 • Ignoring your local market rate

The other extreme — pricing so far above the local market that customers laugh. In some rural US areas \$4-5/cookie is the ceiling. In coastal urban markets \$10-12 is normal. **Fix:** spend an afternoon Googling "custom decorated cookies [your city]" and see what 3-5 local competitors charge. Set your price at market or 10% above — never way below, never way above.

THE ONE ERROR I WANT YOU TO FIX THIS WEEK

Error 1. Not charging for your time. Every home baker who plateaus at \$17/hr made this mistake. If you fix nothing else from this bonus, fix this one — add Layer 3 to every future quote starting Monday.

CLOSING

Your pricing exercise for this week

Three specific actions to lock in the pricing lift.

The three actions

1. Print Chapter 3's worksheet and fill it out for the recipe you sell most. ✓
2. Calculate the new retail price using the four-layer formula. ✓
3. Update your published pricing (Instagram bio, DM template, quote spreadsheet) to the new number. ✓

If you make these three changes this week, and hold the line on Layer 3 in every future quote, your annualised revenue lifts by roughly \$4,000-9,000 within 12 months at your current order volume. This is the highest-return single hour of work in the whole Cookie Cash Blueprint.

WHAT TO DO WHEN A CUSTOMER PUSHES BACK ON THE NEW PRICE

Read Chapter 4 of Bonus 1 (First 10 Buyers). The objection rebuttals there apply directly — never immediately drop the price, offer a smaller quantity or a simpler design instead. About 70% of "too expensive" responses accept one of those two alternatives.

Money is math

You now have the four-layer formula, the worksheet and the seven errors. Take one hour this week to rebuild your pricing and every future order compounds.

You've completed the pack

The Cookie Cash Method plus five bonuses is now yours forever. Bake your first batch, send your first ten outreach messages, and price your first order using this formula. That's the entire business, one week at a time.